

25 Risk identification & classification

14 primary questions | Oldest to newest

2026 objectives: 3.3.1, 3.3.3-3.3.4

9 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P2 April 2008 Q7	22 marks
CA1-P2 September 2010 Q2	10 marks
CA1-P2 September 2012 Q1	9 marks
CA1-P2 April 2013 Q3	11 marks
CA1-P2 September 2013 Q6	31 marks
CA1-P2 September 2015 Q7	23 marks
CA1-P2 April 2016 Q2	11 marks
CA1-P2 September 2016 Q1	6 marks
CA1-P2 September 2016 Q3	12 marks
CA1-P2 April 2017 Q2	10 marks
CA1-P2 September 2018 Q2	8 marks
CP1-P2 September 2022 Q2	40 marks
CP1-P2 September 2023 Q1	56 marks
CP1-P2 September 2023 Q2	44 marks

CA1-P2 | April 2008 | Q7

Mixed / scope note | 22 marks total | Original PDF p4

Includes historical project planning or appraisal material not explicitly listed in 2026. The risk, modelling and commercial applications remain relevant; keep the full question together. Related: Legacy: project planning and appraisal techniques, Ch 17.

- 7** (i) List the main items that should be set out in a written strategy for a project. [2]

A wealthy private foundation wishes to inspire a future generation of ultra-efficient vehicles.

It has been suggested that the foundation could sponsor a high profile international competition, which could offer a multi million dollar prize to the first team to develop a commercially viable vehicle that meets specified efficiency criteria.

- (ii) Discuss:

- (a) the expected costs of sponsoring such a competition;
 (b) how these costs may be financed. [8]

- (iii) Describe other aspects of this suggestion that the private foundation will need to consider when developing the project strategy. [12]
 [Total 22]

CA1-P2 | September 2010 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 30.

- 2** (i) Set out the main steps needed to identify and clarify the particular risks inherent in a project. [6]

A waste management company has decided to expand the range of its services. It is about to enter into contracts to transport and dispose of low-level radioactive waste.

The company is concerned about the financial consequences of accidents during transit or at the disposal site.

- (ii) Explain why traditional insurance products may not be appropriate for mitigating these risks. [2]
- (iii) Outline alternative approaches to mitigation that could be more appropriate. [2]
- [Total 10]

CA1-P2 | September 2012 | Q1

Current topic | 9 marks total | Original PDF p2

Related: Ch 26, Ch 23.

- 1**
- (i) List the types of financial and non-financial risks that a provider of financial products faces. [3]
 - (ii) State the purpose of risk classification. [1]
 - (iii) Describe how risk classification can be used in the design and pricing of an insurance contract. [5]
- [Total 9]

CA1-P2 | April 2013 | Q3

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3**
- (i) Discuss the differences between market risk and liquidity risk. [9]
 - (ii) Suggest two distinct events that can give rise to liquidity risk for an insurance company. [2]
- [Total 11]

CA1-P2 | September 2013 | Q6

Mixed / scope note | 31 marks total | Original PDF p4

Includes historical project planning or appraisal material not explicitly listed in 2026. The risk, modelling and commercial applications remain relevant; keep the full question together. Related: Ch 30, Legacy: project planning and appraisal techniques.

- 6** Nimbus Circus has been running for a number of years. Each year a new show is put together and taken on tour through different countries. Over the last two years attendance has been falling and Nimbus Circus is keen to find a way to increase attendance to former levels.

Shows to date have included human performers such as jugglers, high wire acts, fire breathing and unicyclists.

Changes in licensing rules mean that within the next two years restrictions on the use of animals in circus performances will be lifted. The management team at Nimbus Circus are considering a project to introduce animals into the show to generate new interest. They are considering a variety of animals, including lions, tigers, monkeys, bears and snakes.

- (i) List items which should be included in the written strategy document for this project. [4]
- (ii) Discuss the operational and financial risks this project may introduce to Nimbus Circus. [9]

The management team are particularly concerned about the risk of animals becoming ill or injured which would prevent them being used in the show.

- (iii) List the main options for mitigating this risk, and for each option give an example of how this risk can be addressed. [6]
- (iv) Discuss the tools (other than insurance) which could be used to manage this risk. [7]

Two years after the introduction of animals into the show, the management team have decided to review the success of the project so far, to help them decide if animals should continue to be used.

- (v) Discuss how the success of the project could be measured. [5]
- [Total 31]

CA1-P2 | September 2015 | Q7

Mixed / scope note | 23 marks total | Original PDF p6

Includes historical project planning or appraisal material not explicitly listed in 2026. The risk, modelling and commercial applications remain relevant; keep the full question together. Related: Ch 2, Legacy: project planning and appraisal techniques.

7 A government owned postal service has, until recently, enjoyed a monopoly on the delivery of letters and parcels within a country. Accordingly, the terms they operate under are regulated by the government. In particular:

- The price they can charge is set by the government.
- They must guarantee to deliver to every address in the country.
- The price charged must be the same for every delivery irrespective of distance or remoteness.

That is they cannot charge different prices for delivery to different addresses.

Competition is now allowed. Commercial companies have entered the market but they are not subject to the price and delivery constraints that apply to the government owned postal service.

That is, competitors can charge what they like for each delivery and they do not have to deliver to every address.

(i) Outline the main risks that all postal delivery companies would need to have cover for under their employers' liability and public liability insurance policies. [4]

(ii) Describe how the different application of the price and delivery constraints may affect the profitability of the government postal service in this competitive environment. [5]

(iii) State one example for each of:

How increased use of the internet could:

- (a) be beneficial
- (b) be detrimental

to postal delivery companies. [2]

The government postal service includes a large network of post offices that offer various retail services as well as enabling customers to post letters and parcels.

The management accounting system used by the government postal service to process and record transactions is very old and out of date. The directors have decided to replace the whole system with a new highly sophisticated system. This new system is currently being used by large life insurance companies.

(iv) List the requirements that any project should meet in order to ensure successful project management. [4]

(v) Discuss possible problems that could arise from the introduction of the new accounting system. [8]

[Total 23]

CA1-P2 | April 2016 | Q2

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Related: Ch 35, Ch 17.

- 2** Lily and Poppy want to open a flower shop. They have conducted an initial appraisal and have concluded that this project is viable and the net present value and payback period are both satisfactory.

Poppy has now suggested that, rather than open one shop, they should open a chain of flower shops. She states that this would be more profitable and so they should aim for this more ambitious project.

Discuss this suggestion.

[11]

CA1-P2 | September 2016 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

1 Describe the following:

- (a) liquidity risk
- (b) market risk
- (c) operational risk
- (d) business risk

[6]

CA1-P2 | September 2016 | Q3

[Current topic](#) | [12 marks total](#) | [Original PDF p2](#)

Related: Ch 30.

- 3** Andrew, a cake baker, has recently won a national television competition based on the quality of his cakes. He currently bakes these in his own kitchen and sells them locally to a small number of shops and cafés. Because of the national publicity gained from winning the competition, Andrew is now considering directly selling his award winning cakes across the nation via the internet.

Discuss the main risks that Andrew would face if he launched this venture, and ways that these risks might be mitigated. [12]

CA1-P2 | April 2017 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 27, Ch 7.

- 2** A manufacturer of fireworks is currently assessing the risks it is exposed to:
- (i) Outline these risks. [3]
 - (ii) Discuss the circumstances that might lead to a risk:
 - (a) not needing financial coverage.
 - (b) being retained (taken on by the manufacturer).
 - (c) being fully transferred.
 - (d) being partially transferred. [4]
 - (iii) List six insurance products that could be used to assist in some of the risks being partially or fully transferred. [3]
- [Total 10]

CA1-P2 | September 2018 | Q2

Current topic | 8 marks total | Original PDF p2

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 30.

2 A company has recently formed following the merger of two separate companies. The two companies in the merger currently have their own separate offices in the same city. A proposal has been made to move both offices to a new office in a new location. A new office block will be built for them at the new location and the old sites will be closed.

(i) Outline the possible risks that the company would encounter in relation to the office move. [3]

(ii) Set out, for each of the risks in (i), distinct ways how to manage them. [5]
[Total 8]

CP1-P2 | September 2022 | Q2

Current topic | 40 marks total | Original PDF p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 7, Ch 17, Ch 35, Ch 1.

- 2** A private company has been awarded a contract by the government of a developed country (Country Y) to build and operate Country Y's first national aquarium ('the aquarium').

The aims of the aquarium are to:

- gain an international reputation.
- be a tourist attraction.
- breed, and subsequently release back into the wild, rare and endangered fish.

Based on its intention to honour all of the aims, the company has just been granted permission by the government of Country Y to be the sole provider of the aquarium.

The company has asked an Actuary for advice on certain aspects of this project.

In particular, the company would like advice on how to achieve the aims of the aquarium while maximising its return on capital.

The company first needs to decide on a location for building the aquarium. It will then put in place a team to take responsibility for the construction and subsequent day-to-day running of the aquarium. The company still needs to decide on the precise mix of activities to be undertaken by the aquarium, once opened.

- (i) Outline the issues to be considered in choosing a suitable location for the aquarium. [6]
- (ii) Suggest possible types of insurance that the aquarium may require. [3]

Assume that the company has now purchased the land on which they will be able to build the aquarium. The company is now seeking advice on the financial impact of the possible activities to be undertaken by the aquarium, once opened.

- (iii) Suggest the main activities that the aquarium could choose to undertake, and the cashflows that would be associated with each activity. [6]
- (iv) Outline the risks that the private company will have in building the aquarium and then subsequently the activities mentioned in part (iii). [5]
- (v) Suggest possible actions that the aquarium could take to mitigate the risks mentioned in part (iv). [5]
- (vi) Describe the modelling that could be undertaken to decide on the optimum mix of possible activities. [6]
- (vii) Discuss how the aquarium could be funded, both for the building of the aquarium but also the ongoing running of the activities set out in part (iii). [6]
- (viii) Discuss, from the point of view of the company, possible methods it could use to remunerate the Actuary for the advice. [3]

[Total 40]

CP1-P2 | September 2023 | Q1

Current topic | 56 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 2, Ch 30, Ch 17, Ch 14.

- 1** The government of a developed country has a policy in force that encourages the development of, and investment in, renewable energy sources for electricity generation. The policy has been successful in significantly reducing the cost of infrastructure that produces electricity from renewable energy sources. However, there are still periods when the country is critically dependent on fossil fuels for electricity generation. These periods extend from minutes up to many weeks.

The government has been encouraging renewable energy development by funding sponsors of renewable energy projects. Every year, the government encourages sponsors to submit bids and it chooses the lowest cost bid that meets its objectives. Project sponsors will seek finance from other investors as well as government funding.

The following projects were unsuccessful and did not go ahead and receive government funding in the latest round of bidding:

Project A – A large solar electric project

A project that uses solar panels to harness the sun's energy to generate electricity.

Project B – A large offshore wind farm project

A project that uses wind turbines constructed offshore, to harness wind power to generate electricity.

Project C – A tidal energy project

A project that harnesses the natural rise and fall of ocean tides and currents to generate electricity. This project involves constructing a dam on a major tidal river in the country. There are approximately two high and two low tides every day.

Project D – A hydroelectric pumped storage project

A project located in a mountainous area near the coast that would generate electricity by harnessing the flow of water between two very large lakes at different levels. The pumps can be reversed to pump water back up to the higher lake so that it can generate electricity at a later time.

Project E – A large battery energy storage project

A project that harnesses electricity already generated by charging the batteries when prices are low, then releasing it back when electricity prices are higher, to make a profit.

The government has recently decided to introduce a new eligibility requirement for projects wishing to bid in future. To be eligible to bid, projects must always be capable of generating a minimum level of electricity when instructed to by the national electricity regulator.

- (i) Discuss the advantages and disadvantages for the government of introducing the requirement for each project to produce a minimum amount of electricity if required. [9]
- (ii) Outline how each of environmental, social and governance factors could influence investors on whether to invest in any renewable energy project. [7]

CP1-P2 | September 2023 | Q1 - continued

Current topic | 56 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 2, Ch 30, Ch 17, Ch 14.

(iii) Describe, for each of the five projects A to E, the risks and challenges they face in satisfying the eligibility requirement. [15]

(iv) Discuss how Project B's sponsors could manage the risks identified in part (iii), including any changes that could be made to the project to meet the eligibility requirement. [6]

The sponsors of Project D have approached the sponsors of Projects A and B, proposing that they combine their projects into a new Project X for the next bid.

(v) Discuss the advantages and disadvantages to the sponsors of combining Projects A, B and D into a new Project X. [8]

(vi) Describe the main features of Project X that a model will need to allow for. [4]

(vii) Suggest possible reasons why the sponsor of Project D did not wish to combine with Projects C and E. [4]

(viii) Outline why an insurance company may want to invest in Project X. [3]
[Total 56]

CP1-P2 | September 2023 | Q2

Current topic | 44 marks total | Original PDF p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 30, Ch 35, Ch 17, Ch 18, Ch 23, Ch 38.

- 2** A local government wants to hold a music concert in a particular town, with three musical acts performing. Its objectives are to increase the profile of the area as well as to generate revenue. It has set up an organising committee ('the Committee') for this task to meet its objectives.

The Committee's tasks will include deciding on the venue and the ticket prices.

The Committee has also received a quotation for a cancellation insurance product in connection with the music concert, which will pay out a pre-specified lump sum should the concert need to be cancelled.

If the concert is considered to be a success, then the local government would be interested in holding another concert next year.

- (i) Outline the process for how the Committee can identify and analyse the risks connected with holding the concert. [8]
- (ii) Describe the risks and possible mitigations of holding the concert. [5]
- (iii) Discuss how the event could be financed. [4]
- (iv) Set out how an actuarial model can help the Committee to meet its objectives. [5]
- (v) Describe the data that would be required for the modelling. [4]
- (vi) Discuss how the Committee can assess the appropriateness of the quotation received for the cancellation insurance product. [8]
- (vii) Suggest the possible criteria the Committee can use to determine the success of this year's concert. [6]
- (viii) Outline how the results of the assessment in part (vii) can be used to plan for next year's concert. [4]

[Total 44]